TEACHER GUIDE

OCR A Level Business (H436)

Revenue, costs and profit

5. Finance
5.2 Costs, revenue, profit and loss · 5.2.1, 5.2.3



A revision lesson. Pupils run a car dealership in firms of four and revise revenue, costs and profit on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Variable unit cost

Round 1

Split the costs.

Variable cost per car?

Total costs, a month	**£52,350**
Fixed costs, a month	**£4,750**
Cars sold	**4 cars**

ANSWER

£11,900

(£52,350 − £4,750) ÷ 4 = £11,900

Why: Take the fixed costs off first. Then share the rest between the cars.

2 Why profit fell

Round 1

Revenue rose 10% this year, but profit fell.

Which two could explain this?

A Fixed costs jumped this year
B Overheads fell
C Variable costs rose faster
D Prices were raised
E More cars sold at the same margin

ANSWER

✓ Fixed costs jumped this year
✓ Variable costs rose faster

Why: Profit falls when costs grow faster than revenue.

3 Statement in order

Round 2

You read your income statement from the top.

Put these in order, top first?

A Operating profit
B Profit for the year
C Revenue
D Gross profit

ANSWER

1. Revenue
2. Gross profit
3. Operating profit
4. Profit for the year

Why: Revenue less cost of sales, then overheads, then interest and tax.

Topic tasks

4 Profit after tax

Round 2

Year-end figures.

Profit after tax for the year?

Gross profit	**£73,000**
Overheads	**£40,500**
Interest paid	**£1,000**
Tax on the profit	**25%**

ANSWER

£23,625

£73,000 − £40,500 − £1,000 = £31,500; − 25% = £23,625

Why: Tax is taken from the profit after interest: £7,875.

5 Costs or revenue

Round 3

Revenue is £200,000 and costs £180,000. Raise prices so revenue rises 5%, or cut costs 5%?

Which raises profit more, and why?

A Cut costs by 5%

B Raise revenue by 5%

ANSWER

✔ **Raise revenue by 5%**

Why: 5% of £200,000 is £10,000; 5% of £180,000 is £9,000.

6 Profit next year

Round 3

Next year's plan.

Profit next year? Minus allowed.

Revenue	**£105,000**
Revenue rises by	**20%**
Costs	**£66,000**
Costs rise by	**25%**

ANSWER

£43,500

£126,000 − £82,500 = £43,500

Why: Revenue and costs both change. Work out each new figure first.

Final questions

Each pupil answers 6 final questions on revenue, costs and profit. They come from these 8 questions.

1. A car supermarket records revenue of £1,260,000 and cost of sales of £945,000. What is its gross profit?
   ✔ **£315,000**

2. A workshop pays £14,000 a month in rent and salaries plus £38 of parts per service. With 250 services, what are total costs?
   ✔ **£23,500**

3. A workshop has fixed costs of £18,000 a month and variable costs of £60 per service. With 300 services, what are total costs?
   ✔ **£36,000**

4. A dealer's month: revenue £84,000, fixed costs £25,000, variable costs £41,000. What is the profit?
   ✔ **£18,000**

5. A dealer sells 40 cars at £9,500 each. Each car cost £8,200 and fixed costs are £30,000. What is the month's profit?
   ✔ **£22,000**

6. Which cost of a dealership is a variable cost?
   ✔ **Fuel to prepare each car sold**

7. A repair chain's total costs are £240,000 for 400 services. What is the average (unit) cost of a service?
   ✔ **£600**

8. A dealer's revenue is £1,000,000, cost of sales £820,000 and other expenses £110,000. What is gross profit?
   ✔ **£180,000**